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The Voting Premium

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1 Big picture

- **Question.** Why do voting shares trade at a premium or discount relative to otherwise similar claims, especially when there is no takeover contest or controlling shareholder?
- **Core puzzle.** Traditional theories link voting premia to takeovers and private benefits of control, but the empirical literature shows several facts that do not fit that view: voting premia can be small, can be negative, and are often largest around shareholder meetings rather than takeover episodes.
- **Main mechanism.** A minority blockholder can influence voting outcomes by buying shares before the record date. This changes both his own voting weight and the composition of the small-shareholder base because the investors who disagree with him most are the ones most likely to sell.
- **Central object.** The paper defines the *median voter* as the shareholder whose preferred voting rule coincides with the equilibrium approval cutoff. The median voter summarizes the expected voting outcome.
- **Voting premium.** The voting premium is the part of the share price due to the fact that shares carry voting rights and trading reallocates those rights before the vote. It equals the blockholder's *net marginal payoff* from buying an additional voting right.
- **Positive premium.** A positive voting premium can arise without takeovers when the blockholder wants additional votes to move the median voter toward his own preferred policy.
- **Zero premium.** A small or zero voting premium does not mean votes are economically worthless. It may mean that the blockholder has already accumulated enough votes to become the median voter, so an extra marginal vote does not change the voting outcome.
- **Negative premium.** The voting premium can be negative when small shareholders free-ride on the blockholder's trades. If the blockholder's purchases move the median voter in a direction that benefits small shareholders more than the blockholder, the price impact of buying voting shares can exceed the blockholder's private marginal benefit.
- **Empirical implication.** Different empirical methods measure different objects: dual-class premia and record-date price drops resemble marginal values, while block trades and tender offers are closer to average values of blocks of votes.
- **Takeaway.** The voting premium is not a clean proxy for voting power, private benefits of control, or shareholder conflict. It is an equilibrium price object shaped jointly by voting rights, cash-flow rights, shareholder heterogeneity, trading, and price impact.

2 Incremental contribution of the paper

- **A voting premium without takeovers.** The paper moves the theory of voting premia away from the takeover-control paradigm. It shows that voting rights can be priced even when no one obtains control and no acquisition occurs.
- **A unified theory of governance, trading, ownership, and vote pricing.** Prior work often treats voting, ownership structure, and pricing separately. This paper endogenizes all three: blockholder trading changes ownership; ownership changes the median voter; the expected voting outcome feeds back into prices.
- **Median voter as a governance state variable.** The paper introduces the median voter as a compact sufficient statistic for the expected voting outcome in a setting with heterogeneous shareholders and a minority blockholder.
- **Direct and indirect effects of blockholder trades.** The paper separates the direct effect of buying votes from the indirect effect of changing who remains in the shareholder base. The indirect effect is new and important: the blockholder buys from the shareholders least aligned with him, so the remaining shareholder base becomes more aligned with his position.

- **Marginal versus average value of voting rights.** The paper clarifies why a marginal voting premium can be small even when the total value of voting power is large. This is crucial for interpreting dual-class premia, record-date price drops, equity lending fees, block trades, and tender offers.
- **Negative voting premia from endogenous liquidity.** The paper provides a theory in which voting shares can have a negative premium not because voting rights are bad per se, but because voting rights change price impact and liquidity endogenously.
- **Reinterpretation of empirical methods.** The paper reviews 40 empirical studies and shows that the six common measurement strategies estimate different economic objects. This helps reconcile apparently contradictory empirical estimates.
- **New interpretation of shareholder conflict.** The paper argues that a high voting premium need not indicate severe conflict between blockholders and small shareholders. In some parameter regions, the voting premium and small-shareholder welfare move in the same direction.
- **Extensions relevant to modern governance.** The framework extends to dual-class shares, record-date trading, separate vote trading, multiple blockholders, proxy advisors, and passive shareholders. This makes the model especially relevant for modern institutional ownership and pass-through voting.

3 Model objects and measurement

3.1 Shareholders and ownership

- The firm initially has a continuum of small shareholders and one minority blockholder.
- The blockholder initially owns $\alpha \in (0, 1)$ shares.
- Small shareholders collectively own $1 - \alpha$ shares.
- The baseline model has one share, one vote.
- A proposal is put to a vote. The proposal can be approved, $d = 1$, or rejected, $d = 0$.

Interpretation: The blockholder is large enough to affect the vote, but not so large that he controls the firm. This is the empirically important case of minority blockholder governance.

3.2 Shareholder preferences

A shareholder's valuation of one share depends on the common-value state $\theta \in \{-1, 1\}$ and on an individual bias b :

$$v(d, \theta, b) = v_0 + (\theta + b)d. \quad (1)$$

- $\theta = 1$ means approval is value-increasing in common-value terms.
- $\theta = -1$ means approval is value-decreasing in common-value terms.
- $b > 0$ means the shareholder is more favorable toward approval.
- $b < 0$ means the shareholder is more skeptical of approval.
- The blockholder has bias β .
- Small shareholders' biases are distributed according to G on $[-\bar{b}, \bar{b}]$.

Interpretation: Heterogeneous biases stand for differences in ideology, beliefs, investment horizons, tax positions, portfolio externalities, and governance philosophies. The model treats shareholder heterogeneity as central rather than incidental.

3.3 Trading costs and limits to arbitrage

A small shareholder who buys x additional shares has utility

$$u(d, \theta, b, x; \gamma, 1 - \alpha) = (1 - \alpha + x)v(d, \theta, b) - \frac{\gamma}{2}x^2. \quad (2)$$

The blockholder chooses a trade y and has analogous trading cost parameter η .

- $x < 0$ means a small shareholder sells shares.
- $y > 0$ means the blockholder buys shares.
- γ and η capture trading frictions, wealth constraints, or illiquidity.
- Small shareholders are price takers.
- The blockholder is strategic and accounts for the price impact of his order.

Interpretation: The model needs trading frictions because otherwise shareholders with strong valuations could take arbitrarily large positions. Finite trading costs create an upward-sloping supply curve to the blockholder.

3.4 Information and voting

Before the vote, all shareholders observe a public signal summarized by

$$q = \mathbb{E}[\theta \mid \text{public signal}]. \quad (3)$$

A shareholder with bias b votes in favor if and only if

$$b + q \geq 0. \quad (4)$$

The proposal passes if at least fraction τ of all shares vote in favor.

Interpretation: The signal q can be thought of as information from management disclosures, analysts, or proxy advisors. A more activist shareholder needs less favorable news to support the proposal; a more skeptical shareholder needs stronger evidence.

3.5 Median voter

For any post-trade shareholder composition, there is an approval cutoff q^* such that the proposal is approved if and only if

$$q > q^*. \quad (5)$$

The median voter is the shareholder whose bias makes him exactly indifferent at this cutoff:

$$b_{MV} = -q^*. \quad (6)$$

Interpretation: The median voter is not necessarily an actual atomistic shareholder with mass. It is the ideological or valuation position that summarizes the equilibrium decision rule.

4 Models and theoretical specifications

4.1 Equilibrium sequence

The model has three stages:

1. The blockholder submits order y .
2. Small shareholders observe y and trade competitively.
3. After the record date, the public signal q is realized and shareholders vote.

Interpretation: The timing is designed to capture shareholder meetings where the proposal is known before the record date and investors can trade in anticipation of voting rights.

4.2 Market-clearing price

For a given blockholder trade y , the equilibrium price is

$$p^*(y) = \gamma y + v(\mathbb{E}[b], q^*(y)). \quad (7)$$

- The first term captures the price impact needed to clear the market as small shareholders absorb the blockholder's trade.
- The second term is the valuation of the average small shareholder at the expected voting outcome.

Interpretation: Prices depend not only on cash-flow expectations but also on how trading changes the voting rule. This is why the same share can have a different value before and after the record date.

4.3 Blockholder objective

The blockholder chooses y to maximize

$$\Pi(y) = (\alpha + y)v(\beta, q^*(y)) - yp^*(y) - \frac{\eta}{2}y^2. \quad (8)$$

His marginal payoff from buying shares can be decomposed as

$$\frac{d\Pi(y)}{dy} = MPC(y) + MPV(y), \quad (9)$$

where

$$MPC(y) = (\beta - \mathbb{E}[b])H(q^*(y)) - (2\gamma + \eta)y. \quad (10)$$

- $MPC(y)$ is the marginal payoff from buying cash-flow rights holding the voting rule fixed.
- $MPV(y)$ is the marginal payoff from buying voting rights because the trade changes the median voter.

Interpretation: The key economics are in $MPV(y)$. The blockholder buys shares not only because he values cash flows differently, but also because his purchases can shift the decisive voter.

4.4 Definition of the voting premium

The paper's voting premium is the price component due to bundled voting rights:

$$VP = p^{\text{voting share}} - p^{\text{cash-flow-only benchmark}}. \quad (11)$$

In equilibrium, the voting premium is linked to the blockholder's net marginal payoff from one more vote.

Interpretation: The voting premium is a marginal price, not the total surplus from voting rights. This distinction explains why some empirical methods find small premia even though blockholders' total benefits from votes can be large.

4.5 Positive, zero, and negative voting premium

- **Positive premium:** arises when the blockholder is not yet the median voter and one more voting share helps move the expected voting outcome toward his preferences.
- **Zero premium:** arises when the blockholder has already become the median voter or when votes are separately tradable and atomistic shareholders supply them at zero price.
- **Negative premium:** arises when the blockholder's purchases raise the price paid to small shareholders more than they raise his own valuation.

Interpretation: Negative voting premia are not anomalies in this theory. They are cases where voting rights worsen the blockholder's price impact because small shareholders free-ride on the effect of his trades.

5 Theoretical design and empirical interpretation

5.1 Why the model can explain empirical disagreement

- Different empirical methods do not measure the same object.
- Dual-class share premia and record-date price drops are closer to marginal values of votes.
- Block trades and dual-class tender offers include average block values and inframarginal gains.
- Equity lending and option replication can capture a separately traded vote, which can be much smaller than the embedded voting premium of a share.

Interpretation: Apparent empirical inconsistency is partly measurement inconsistency. The model gives a taxonomy of what each method prices.

5.2 Why voting premium is not voting power

- Voting power is about the ability to affect outcomes.
- Voting premium is about the marginal price of one more vote.
- A blockholder with a large stake may have high power but low marginal value if additional votes do not further change the median voter.
- Therefore, voting premium can decrease as voting power increases.

Interpretation: This is one of the paper's most important interpretive messages: do not use the observed voting premium mechanically as a measure of control value or governance conflict.

5.3 Why conflicts and welfare do not map one-to-one into premia

- A higher voting premium can coincide with higher small-shareholder welfare if the blockholder's trades move the median voter closer to the average small shareholder.
- A low or negative voting premium can occur even when votes have governance value.
- Free-riding and liquidity effects can dominate the direct value of voting rights.

Interpretation: The sign and magnitude of the voting premium reflect equilibrium trading and price impact, not a simple measure of agency conflicts.

5.4 What the paper cannot fully prove

- The paper is theoretical and does not structurally estimate the model.
- The empirical table is a synthesis of existing studies rather than a new data set.
- Several extensions are in the Internet Appendix, so some mechanisms are discussed rather than fully developed in the main text.
- The model abstracts from many legal and institutional details of proxy voting, securities lending, index-fund governance, and record-date procedures.

Interpretation: The contribution is not a new empirical estimate of voting premia. It is a framework for interpreting why such estimates differ and what they do or do not mean.

6 Section-by-section study guide

- **Introduction.** Motivates the puzzle: voting premia exist without takeover contests, can be small or negative, and vary widely across methods.
- **Discussion of literature.** Places the paper relative to takeover theories, vote-trading theories, blockholder governance, and heterogeneous-shareholder models.
- **Model.** Defines shareholders, biases, trading, public information, and voting.
- **Equilibrium.** Characterizes the median voter and the way the blockholder's trade shifts the decision rule.
- **Voting premium.** Defines the premium and shows how it can be positive, zero, or negative.
- **Extensions.** Discusses dual-class shares, record-date trading, separate vote trading, multiple blockholders, proxy advisors, and passive shareholders.
- **Empirical implications.** Uses Table I to show that empirical estimates vary because methods price different objects.
- **Conclusion.** Summarizes why the voting premium is not a clean measure of control value, power, or conflict.

7 Tables and figures

7.1 Figure 1: The median voter

Read:

- Panel A shows votes in favor as a function of the public signal q when the blockholder may be pivotal.
- The horizontal dashed line is the majority requirement τ .
- The curve without the blockholder contribution reflects small shareholders' votes.
- The jump of size $\alpha + y$ reflects the blockholder's votes when he supports the proposal.
- The interval in which the blockholder is pivotal depends on his bias β and trade y .
- Panel B abstracts from the pivotal-region details and focuses on the approval range: the proposal is rejected below the cutoff and approved above it.

Detailed interpretation: The figure establishes the median-voter representation. Even though the blockholder can be pivotal over some signals, the voting outcome can still be summarized by a cutoff q^* . The median voter is the shareholder bias corresponding to this cutoff. The figure also shows why the blockholder's identity as median voter is endogenous: buying shares changes the height of the jump and changes which small shareholders remain in the shareholder base.

Economic message: The expected voting outcome is not fixed before trading. Ownership trading changes the voter base and therefore changes the identity of the decisive shareholder.

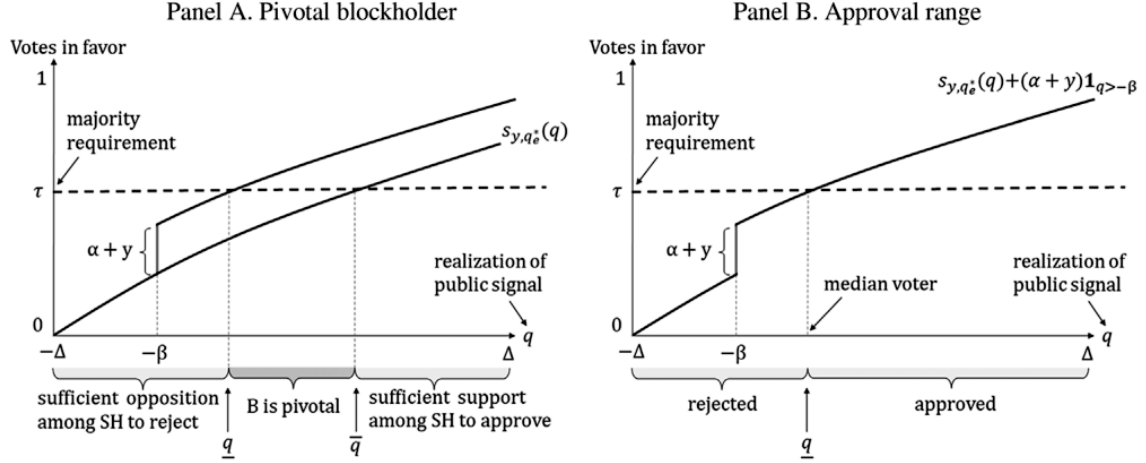


Figure 1: The median voter.

7.2 Figure 2: The effect of the blockholder's trade on the equilibrium median voter

Read:

- Panel A shows the case where the blockholder buys shares but remains away from being the median voter.
- The median-voter cutoff shifts because the blockholder's ownership and the small-shareholder composition change.
- Panel B shows the case where the blockholder buys enough shares to become the median voter.
- In Panel B, the approval threshold effectively coincides with the blockholder's own bias.
- The figure illustrates why more blockholder ownership does not always imply a larger marginal voting premium.

Detailed interpretation: The left panel corresponds to a region in which the blockholder's marginal vote still changes the decision rule. The right panel corresponds to a region in which the blockholder has already moved the median voter to himself. Beyond that point, buying more votes no longer changes the expected voting outcome, so the marginal value of voting rights can be zero even when the total value of the accumulated voting position is high.

Economic message: The voting premium is a marginal object. It can be high while the blockholder is still moving the median voter and fall to zero once the blockholder is already decisive.

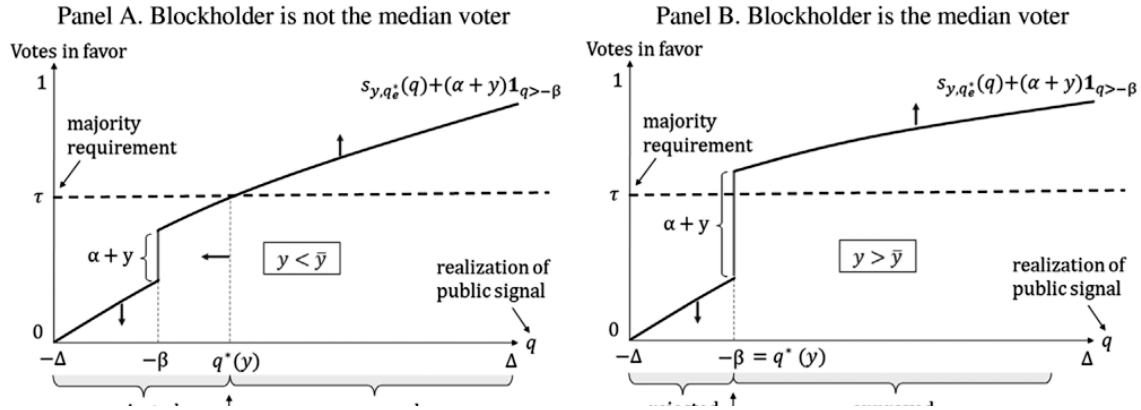


Figure 2: The effect of the blockholder's trade on the equilibrium median voter.

7.3 Figure 3: Small shareholders' welfare and voting premium move in the same direction

Read:

- The figure orders the median voter, average small shareholder, and blockholder on a single ideological line.
- The median voter begins to the left of the average small shareholder.
- The blockholder is more activist than the average shareholder.
- As the blockholder becomes more activist and trades, the median voter moves closer to the average small shareholder.
- This movement can increase both small-shareholder welfare and the voting premium.

Detailed interpretation: The figure explains Proposition 4. If the distribution of small-shareholder preferences is such that the median voter is initially less aligned with the average small shareholder, a more activist blockholder can move the decision rule toward the average small shareholder. In that case, the voting premium rises because the blockholder's marginal influence is more valuable, but small shareholders also gain because the voting outcome improves from their point of view.

Economic message: A higher voting premium does not necessarily mean greater extraction or conflict. Sometimes the blockholder's trades make the shareholder decision more representative of the average shareholder.

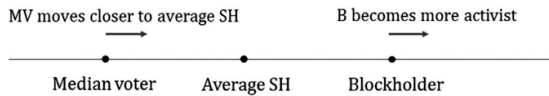


Figure 3: Small shareholders' welfare and voting premium move in the same direction.

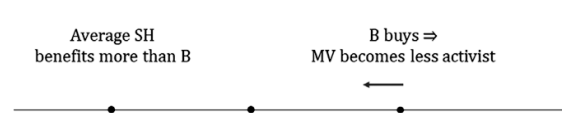


Figure 4: Negative voting premium.

7.4 Figure 4: Negative voting premium

Read:

- The average small shareholder is less activist than the blockholder.
- The median voter is more activist than the blockholder.
- When the blockholder buys, he moves the median voter closer to himself.
- That movement benefits average small shareholders more than it benefits the blockholder.
- Small shareholders therefore demand a higher selling price, creating strong price impact.

Detailed interpretation: The figure illustrates how a negative voting premium can arise. The blockholder values the marginal vote positively because it moves the outcome toward his preferences. However, the price of voting shares rises even more because small shareholders benefit from the induced movement of the median voter and free-ride on the blockholder’s governance intervention. The blockholder then optimally buys fewer voting shares than he would buy if the shares carried only cash-flow rights.

Economic message: A negative voting premium does not mean votes destroy firm value. It means that the marginal voting share is illiquid from the blockholder’s point of view because his governance trade creates benefits that sellers capitalize into the price.

7.5 Table I: Empirical Estimates of the Voting Premium

Read:

- The table summarizes 40 empirical studies using six measurement strategies.
- Dual-class share studies report an average voting premium of 22.68% and a median of 13.58%.
- Block trades report an average premium of 20.27% and a median of 16.81%.
- Dual-class tender offers produce the largest average estimate: 42.16%.
- Option replication, equity lending, and record-day trading produce tiny average estimates: 0.20%, 0.02%, and 0.75%, respectively.
- Negative voting premia appear often: 18 of 23 dual-class-share studies and 4 of 6 block-trade studies report at least some negative observations.

Detailed interpretation: The table is the empirical motivation for the model. Different methods appear to disagree dramatically because they do not measure the same concept. Dual-class shares and record-date trading are closer to marginal values; block trades and tender offers include average values and inframarginal benefits; equity lending measures separately traded votes rather than bundled cash-flow-and-vote shares. The table also shows that negative premia are empirically pervasive enough to require a theory, not just a data-cleaning explanation.

Economic message: The empirical literature is not simply noisy; it is measuring different theoretical objects. The paper’s model provides a language for mapping each method to a different piece of the equilibrium value of votes.

Table I
Empirical Estimates of the Voting Premium

The table summarizes the results of 40 studies, described in Tables IA.I and IA.II in Section I of the Internet Appendix, which together employ six methodologies to estimate the voting premium. We first take the average estimate of the voting premium for each study and then calculate the averages, medians, minimums, and maximums of these estimates across all studies using a given methodology. We report these numbers (in percent of the stock price) in columns Avg., Median, Min, and Max, respectively. Of the seven studies that present evidence on dual-class tender offers (Table IA.II), this table uses only the five studies that report at least one dual-class tender offer in their sample (two others report zero tender offers in their samples). Several studies report results on more than one method, so the number of studies (# studies) sums to more than 40. The last column (# with neg.) reports the number of studies within each methodology that document a negative voting premium for at least some firms in their sample.

Methodology	Avg.	Median	Min	Max	# Studies	# with Neg.
Dual-class shares	22.68	13.58	4.07	81.50	23	18
Block trades	20.27	16.81	6.79	46.96	6	4
Dual-class tender offers	42.16	26.59	12.27	130.7	5	0
Option replication	0.20	0.16	0.09	0.37	5	5
Equity lending	0.02	0.02	0.01	0.02	3	0
Record-day trading	0.75	0.75	0.09	1.40	2	0

Table I: Empirical Estimates of the Voting Premium.

8 Result map

8.1 Lemma 1: Voting outcome cutoff

- Given post-trade ownership and shareholder composition, there exists a cutoff q^* such that the proposal is approved if and only if $q > q^*$.
- This reduces a high-dimensional vote aggregation problem to a one-dimensional decision rule.

Interpretation: Lemma 1 is what makes the median-voter approach possible. Once the voting outcome is summarized by q^* , the rest of the model can focus on how trading changes q^* .

8.2 Proposition 1: Characterization of the median voter

- The median voter can be a small shareholder or the blockholder.
- The identity depends on the blockholder’s bias, his trade, and the small-shareholder distribution after trading.
- If the blockholder is pivotal over the relevant interval of signals, he can become the median voter.

Interpretation: Proposition 1 is the governance core of the model. It identifies the channel through which ownership affects outcomes: not only direct votes, but the identity of the median voter.

8.3 Proposition 2 and Corollary 1: Equilibrium trade and the zero-premium case

- The blockholder chooses an optimal trade balancing cash-flow valuation, voting influence, trading costs, and price impact.
- If price impact is moderate, the blockholder may buy enough to become the median voter.
- Once the blockholder is the median voter, the marginal voting premium can be zero.

Interpretation: This result explains why empirical methods may find negligible voting premia even in settings where voting rights have large total value.

8.4 Proposition 3: Positive voting premium

- When the blockholder remains away from being the median voter and marginal votes affect the decision rule, the voting premium can be positive.
- The premium depends on the marginal governance benefit net of price impact.

Interpretation: Proposition 3 provides the baseline non-takeover source of voting value: shareholder meetings and the ability to influence the expected voting outcome.

8.5 Proposition 4: Voting premium and welfare can move together

- Under certain distributions of small-shareholder preferences, a higher blockholder bias can increase both the voting premium and small-shareholder welfare.
- This breaks the common interpretation that higher voting premia necessarily mean stronger conflicts or private benefits.

Interpretation: This result warns against using the voting premium as a proxy for agency costs.

8.6 Proposition 5: Negative voting premium

- The voting premium can be negative when the price impact of voting-share purchases exceeds the blockholder's direct marginal voting benefit.
- This occurs when small shareholders benefit from the blockholder's governance trade and free-ride by demanding higher selling prices.

Interpretation: This result rationalizes a puzzling empirical fact: some firms and some methodologies report negative prices for superior voting rights.

9 Short summary

- The paper develops a theory of voting premia without takeovers or controlling shareholders.
- A minority blockholder trades before the record date and then votes.
- Small shareholders are heterogeneous in their preferences or beliefs about the proposal.
- Trading changes the composition of the shareholder base because investors who dislike the blockholder's desired outcome are more willing to sell.
- The expected voting outcome is summarized by the median voter.
- The voting premium reflects the blockholder's net marginal payoff from buying one more voting share.
- The voting premium can be positive, zero, or negative.
- A zero premium can mean the blockholder has already become the median voter, not that votes are worthless.
- A negative premium can arise because small shareholders free-ride on the blockholder's trades, creating strong price impact.

- The voting premium is not a clean measure of voting power, private benefits, or shareholder conflict.
- Different empirical methods estimate different objects: marginal vote values, average block values, capitalized values, or separately traded vote values.
- Table I shows large dispersion across methods, which the model helps interpret.

10 Conclusion

10.1 Core conclusion

Levit, Malenko, and Maug provide a unified theory of the voting premium in a world without takeovers or controlling shareholders. The central insight is that voting rights matter because trading before the record date changes the composition of voters and therefore changes the identity of the median voter. The voting premium is the equilibrium marginal price of this influence.

10.2 Economic intuition

The blockholder wants to influence the expected voting outcome, so he buys shares. But these shares are bundles of cash-flow and voting rights. As the blockholder buys, he changes not only his own vote share but also which small shareholders remain in the firm. The sellers tend to be investors whose valuations are lower and who are less aligned with the blockholder. This changes the shareholder base and shifts the median voter. The value of an extra vote is therefore determined by a trade-off between governance influence and price impact.

10.3 Why the incremental contribution matters

The paper changes how to interpret observed voting premia. Instead of treating the premium as a direct measure of control value, voting power, or agency conflict, it treats the premium as an equilibrium marginal price shaped by bundled securities, heterogeneous preferences, and endogenous shareholder composition. This perspective reconciles three empirical puzzles: large premia in settings without control contests, tiny premia in some measurement approaches, and negative premia for some firms.

10.4 Implications for empirical work

Empirical researchers should be explicit about what their measure captures. Dual-class share premia, record-date price drops, equity-lending fees, block trades, and tender offers are not interchangeable measures of the same value. Some measure marginal values, some measure average block values, some capitalize repeated future meetings, and some measure votes separately from cash-flow rights. The model implies that cross-method differences are informative rather than merely inconvenient.

10.5 Implications for governance

The paper suggests that shareholder meetings and record-date trading deserve more attention in governance research. Institutional investors, activist blockholders, proxy advisors, and pass-through voting systems all matter because they shape the median voter. The market for shares becomes a mechanism of political coordination among shareholders, not just a market for cash-flow claims.

10.6 Limitations

The paper is theoretical and does not estimate the model structurally. It abstracts from many institutional details, such as proxy solicitation costs, legal constraints on share lending, disclosure requirements, dynamic reputation, fund-family voting policies, and the full complexity of dual-class structures. Still, the model provides a disciplined way to interpret broad empirical patterns.

10.7 Takeaway

The voting premium is best understood as a marginal governance-liquidity object. It can be positive because blockholders buy influence, zero because they have already obtained enough influence, or negative because small shareholders capitalize the benefits of the blockholder's intervention into the price. The paper's main message is therefore: do not read the voting premium literally as the value of corporate votes; read it as an equilibrium price shaped by the interaction of trading, voting, and shareholder heterogeneity.